than simply posting higher numbers in branches or bank accounts opened, has to be part of our efforts.

And last but not least, we have to deal better with distress; The natural, and worst, way for a bank management with limited tenure to deal with distress is to 'extend and pretend' – to evergreen the loan, hope it recovers by miracle, or that one's successor has to deal with it. The natural incentive for a promoter to deal with distress is to hold on to equity and control despite having no real equity left, and to stand in the way of all efforts to resolve the underlying project while hoping for an 'act of God' to bail him out. Not all bankers and promoters succumb to these natural incentives, but too many do.

We have to ensure that the system recognizes financial distress early, takes steps to resolve it, and ensures fair recovery for lenders and investors. We could wish for a more effective judicial process or a better bankruptcy system, but while we await that, we have to improve the functioning of what we have. In the next few weeks, we will announce measures to incentivize early recognition, better resolution, and fair recovery of distressed loans. We will focus on putting real assets back to work in their best use. Here again, you bankers have a critical role to play by fighting the natural incentives that are built into the system. You have to help those with genuine difficulty while being firm with those who are trying to milk the system. The RBI will help you with every means at our disposal.

Let me conclude. We are going through a period of great cynicism about what India can do. That cynicism does not just permeate the foreign press and their audiences, but also infects our domestic debate. Every policy is greeted with suspicion and scrutinized for evidence of malfeasance. With no upside to making decisions, it is no wonder that decision making has slowed. The solution, however, cannot come through inaction but through action, action that is, and is seen to be,